

inflation. Therefore, these two taxes are discussed in relative detail in this book.

Income Tax

Income Tax – as the name suggests – is a tax on the income that you or your business earns by investing your or your company's time and money. Depending on the amount of income, you might fall in a specific slab of Income Tax. Higher the income, higher the percentage of tax that you need to pay. The current tax slabs as of Financial Year 2015-16 (Assessment Year 2016-17), as declared by government of India are as follows:

Income tax slabs for Individual Tax Payers FY: 2015-2016

Income tax slabs for Individual Tax Payers FY: 2015-2016

General Tax Payers [Age 60 years]

<i>Income tax slab (in Rs.)</i>	<i>Tax</i>
0 to 2,50,000	No tax
2,50,001 to 5,00,000	10%
5,00,001 to 10,00,000	20%
Above 10,00,000	30%

Senior Citizens [Age ≥ 60 & < 80 years]

<i>Income tax slab (in Rs.)</i>	<i>Tax</i>
0 to 3,00,000	No tax
3,00,001 to 5,00,000	10%
5,00,001 to 10,00,000	20%
Above 10,00,000	30%

Very Senior Citizens [Age ≥ 80 years]